

Fiscal illusion and voter's response to local public goods



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Abstract

This study examines the relationship between fiscal illusions and voters' response to local public good by synthesizing theoretical evidences from the fields of public economics, political economy and local governance. A systematic review of research articles and doctoral thesis sourced from Google scholar, ResearchGate and JSTOR was undertaken to explore the concept of fiscal illusions and its determinant and its influence on citizens. The reviewed literature indicates that fiscal illusion affects voter's ability to accurately perceive the cost and benefits of public services, often leads to biased evaluation of governmental performances and inefficient preference for public spending. The findings further suggest that limited fiscal awareness can increase support for higher public expenditure while reducing accountability for inefficient resources allocation of local public goods. The review also identifies the research gaps including insufficient analysis at local governmental level. Overall, the review concludes that fiscal illusion remains a critical factor influencing voter's response to local public good. Reducing fiscal illusions through transparency, digital disclosure of public finances and participatory governance can strengthen democratic accountability and promote more efficient and equitable provision of local public goods.

Keywords: fiscal illusions, Tax Salience, flypaper effect, Wagner's law, transparency

Introduction

The concept of fiscal illusion significantly influences voters' responses to local public goods, as evidenced by various studies. Fiscal illusion occurs when taxpayers underestimate the costs associated with public services, leading to increased demand for these services. This phenomenon is particularly pronounced in contexts where local governments rely heavily on intergovernmental grants which obscure the true cost of public goods. While fiscal illusion can lead to increased demand for public goods, it may also result in inefficiencies in public finance, as voters may not fully grasp the long-term implications of their preferences. This complexity highlights the need for transparent tax systems to ensure informed voter decisions. Fiscal illusion was first developed by **Amilcare Puviani** in *Teoria della illusione finanziaria* (1903).

Research review

1. (Araújo & Siqueira, 2016) Provides one of the most comprehensive empirical tests of **fiscal illusion in Brazil**. Demonstrates that **tax complexity and intergovernmental transfers jointly generate fiscal illusion**. Extends fiscal illusion literature by integrating the **median voter framework** with municipal-level expenditure analysis. Offers policy evidence that **greater fiscal transparency** can improve voter awareness and strengthen fiscal accountability. The study focuses on municipal expenditure demand and does not directly measure individual voter's behavior or electoral outcomes. This demonstrates that **fiscal illusion affects citizens' demand for local public goods**. The results show that when taxes are **complex or financed through intergovernmental transfers**, voters underestimate the true cost of public services and therefore support higher levels of local government expenditure. Consequently, fiscal illusion weakens fiscal discipline, influences voter preferences, and contributes to the expansion of local public spending. The study also supports Buchanan's argument that **transparent taxation is essential for informed voting and effective democratic accountability**.
2. Schwegman & Kim, (2025) This study extends the **fiscal illusion theory** by examining how **tax salience**—the extent to which citizens are aware of the taxes they pay—affects their evaluation of local governments and their willingness to support public spending. The authors argue that when taxes are less visible, taxpayers underestimate the cost of financing local public goods, leading to a form of fiscal illusion. As a result, citizens tend to evaluate government performance more positively and become more willing to support additional public expenditure and taxation. The study investigates whether citizens' awareness of property taxes influences: their satisfaction with local government, their perceptions of public service quality, and their willingness to support higher local taxes for public goods. It demonstrates that **tax visibility** is a significant determinant of voter perceptions and political accountability, bridges public finance and public administration by showing that fiscal institutions shape citizens' evaluations of government performance. **Fiscal illusion positively influences citizens' satisfaction with local governments**, even when actual service quality is unchanged. **Voter preferences for public spending and taxation are shaped by tax visibility**, indicating that electoral responses depend not only on the quantity and quality of public goods but also on how transparently they

- are financed. The study particularly valuable for research on **voters' responses to local public goods**, as it directly links tax perception with citizen satisfaction and support for public spending.
3. **Islam, M. N. (1998)**-investigates whether **intergovernmental grants create fiscal illusion** by reducing the perceived tax price of local public services. The study examines whether grants from higher levels of government encourage local governments to spend more because voters underestimate the true cost of financing local public goods. The study is based on **Fiscal Illusion Theory** (Puviani and Buchanan) and the **expected vote-maximization model**. It argues that when a significant share of local expenditure is financed through provincial or central government grants rather than local taxes, citizens perceive public services as less costly. This weakens fiscal discipline and increases demand for local public goods. Intergovernmental grants generate a **fiscal illusion effect** by lowering the perceived tax price of local public services. Municipalities receiving larger grants tend to increase public expenditure beyond what would be expected if spending were financed entirely through local taxation. The magnitude of the fiscal illusion effect differs across municipalities because of variations in fiscal capacity, institutional arrangements, and local characteristics. Local voters are less likely to recognize the true cost of government spending when grants finance a substantial share of public services. It shows that **intergovernmental grants can distort voters' perceptions of the cost of local public goods**. When citizens believe that public services are financed mainly by external grants rather than their own taxes, they are more likely to support higher local expenditure and place less fiscal pressure on elected officials. Consequently, fiscal illusion weakens electoral accountability and contributes to higher levels of local government spending.
 4. **On Fiscal Illusion in Local Public Finance: Re-examining Ricardian Equivalence and the Renter Effect, National Tax Journal, Vol. 66(3), 2013.**The paper revisits two classic concepts in public finance: **Fiscal Illusion** – citizens may misperceive the true cost of government spending because of the way taxes or public debts are structured. **Ricardian Equivalence** – the method of financing public expenditure (current taxes or debt) should not affect citizens' behavior because debt today implies taxes tomorrow. According to the theory: Government spending financed through **taxes** or **public debt** should produce the same economic outcome. Rational citizens recognize borrowing today requires higher taxes in the future. Therefore, financing methods should not influence

voting or public expenditure. For local governments, this occurs because future tax liabilities become **capitalized into property values**. Fiscal illusion arises when citizens underestimate the real cost. Citizens perceive borrowing as less costly than immediate taxation and therefore support greater public expenditure. Renters may underestimate their tax burden because property taxes are largely paid by property owners, making them more likely to support spending financed through property taxes.

5. [Krah & Mertens \(2022\)](#) examined the relationship between **financial transparency, citizen trust, and willingness to pay local taxes** in local governments in Ghana. The study argues that transparent financial reporting enhances accountability by enabling citizens to understand how public revenues are collected and utilized. They found that **financial transparency has a significant positive effect on citizens' trust in local governments**. Increased transparency also directly improves citizens' willingness to pay local taxes and levies, while **trust partially mediates** this relationship, indicating that transparent fiscal practices strengthen tax compliance both directly and indirectly through enhanced public confidence. The study contributes to the fiscal governance literature by demonstrating that **transparent public financial management promotes voluntary tax compliance and strengthens the fiscal capacity of local governments**. Although it does not explicitly examine fiscal illusion, its findings are highly relevant because transparency reduces information asymmetry, thereby limiting the conditions under which fiscal illusion can occur.
6. [Bhabesh Hazarika and Dinesh Kumar Nayak \(2022\)](#) they investigate the rapid growth of public expenditure across Indian state governments by jointly examining the roles of **fiscal illusion, the flypaper effect, and Wagner's Law**. The study argues that rising public expenditure cannot be explained solely by economic growth; instead, fiscal institutions such as **intergovernmental transfers** and **fiscal deficits** also influence citizens' perceptions of the cost of government and consequently affect expenditure decisions. Both **intergovernmental transfers and fiscal deficits significantly increase state public expenditure**, indicating that states tend to expand spending when financed through transfers from the Union government or through borrowing rather than own-source taxation. The study also confirms the existence of the **flypaper effect**, whereby grants received from the central government stimulate public spending more than an equivalent increase in citizens' income. These results suggest that external sources of finance reduce taxpayers' awareness of the true cost of public expenditure, encouraging higher

government spending. The paper also highlights important policy concerns. It notes that many Indian states—particularly **North-Eastern and hilly states**—have become increasingly dependent on intergovernmental transfers. Such dependence weakens incentives to mobilize **own-source tax revenues**, enlarges fiscal deficits, and contributes to persistent fiscal imbalances. It demonstrates that **intergovernmental transfers and deficit financing reduce the perceived tax price of public services**, encouraging greater demand for public expenditure.

7. **Bardhan, P., Mitra, S., Mookherjee, D., & Nath, A. (2024). How Do Voters Respond to Welfare vis-à-vis Public Good Programs? Theory and Evidence of Political Clientelism. Quantitative Economics, 15(3),** They investigate whether voters reward governments more for **private, excludable welfare benefits** or for **public goods** that benefit entire communities. The study addresses the long-standing debate between **clientelistic politics**, where politicians gain electoral support by targeting benefits to specific individuals or groups, and **programmatic politics**, where voters evaluate governments based on broad public services. The authors develop a theoretical model of hierarchical budgeting and test its predictions using detailed household survey data from rural West Bengal, India. Voters were asked about the benefits they received from both **individual welfare programmes** (such as housing assistance, pensions, or employment schemes) and **local public goods** (such as roads, irrigation, and village infrastructure). The analysis demonstrates that increased electoral competition induced higher-level governments to manipulate the distribution of **targeted welfare programmes**, while allocations for public goods remained comparatively unaffected. The authors argue that their evidence provides stronger support for clientelism than for programmatic models of electoral accountability. The study makes an important contribution by integrating formal theory with rigorous empirical evidence. It shows that political incentives influence not only voter behavior but also government budgeting decisions.
8. **Goyal, T. (2024). Do Citizens Enforce Accountability for Public Goods Provision? Evidence from India's Rural Roads Program. The Journal of Politics.** He examine whether voters reward governments for providing **highly visible local public goods**, using India's **Pradhan Mantri Gram Sadak Yojana (PMGSY)**—the world's largest rural road construction programme—as a natural setting. It investigates whether improvements in road connectivity translate into increased electoral support for incumbent governments. The analysis is based on an

extensive dataset covering **approximately 180,000 rural roads constructed across more than 500,000 villages over nearly two decades..** The findings reveal that **road provision does not significantly increase electoral support for incumbent governments**, even though roads substantially improve connectivity and access to markets, education, and health services. It concludes that **weak electoral accountability for public goods is more persistent than conventional political economy theories suggest**. It demonstrates that **the provision of visible local public goods alone does not necessarily generate electoral rewards**. The findings imply that voters' political responses depend on more than the availability of public infrastructure; institutional accountability, information, and perceptions of government performance also matter. For fiscal illusion, it suggests that even when governments invest in tangible local public goods, **voters may not accurately translate these benefits into electoral accountability**, highlighting the complex relationship between public expenditure, voter perceptions, and democratic governance.

9. **Pommerehne, W. W., & Schneider, F. (1978). Fiscal Illusion, Political Institutions, and Local Public Spending. *Kyklos***-They provide one of the earliest and most influential empirical examinations of **fiscal illusion** and its effect on **local public expenditure**. They argue that citizens often **underestimate the true tax price of public services**, causing them to demand higher levels of government expenditure than they would if fiscal costs were fully transparent. The study further proposes that the extent of fiscal illusion depends on the design of **political institutions**, particularly the degree of direct citizen participation in fiscal decision-making. Under this, how tax structures, expenditure patterns, and institutional arrangements influence local public spending and the degree of fiscal illusion. The study finds **strong empirical evidence of fiscal illusion**. Representative systems provide governments with greater discretionary power to expand spending. The authors also observe that governments' deviations from citizens' preferences tend to decline as elections approach, suggesting that electoral accountability constrains fiscal illusion. The paper makes a major contribution by integrating **public choice theory** with **fiscal federalism**. It demonstrates that **voters' perceptions of taxation directly influence their demand for local public goods**, and that institutional arrangement such as **direct democracy, transparency, and electoral accountability** can reduce fiscal illusion.

10. **Karnik, A., & Lalvani, M. (2005). Urban Local Governments and the Flypaper Effect: Evidence from Maharashtra, India. Publius: the Journal of Federalism, 35(2).** They examine the fiscal behavior of **urban local governments (ULGs) in Maharashtra** within the framework of India's decentralization reforms. The study investigates whether **intergovernmental grants from the state government create a flypaper effect**, whereby grants stimulate local government expenditure more than an equivalent increase in locally generated income. It also tests the **asymmetry hypothesis**, which proposes that local governments respond differently to increases and decreases in grants. The authors use **panel data on urban local bodies in Maharashtra** and estimate expenditure equations relating local public spending to state grants, local revenue, and other fiscal variables. The empirical results provide **strong evidence of the flypaper effect**. State government grants have a significantly larger impact on municipal expenditure than comparable increases in local income, indicating that urban local governments rely heavily on external transfers to expand spending. The authors recommend improving the design of intergovernmental transfers and enhancing local revenue autonomy to promote greater fiscal responsibility. It demonstrates that **intergovernmental grants increase local public expenditure more than locally raised revenues**, providing empirical support for the **flypaper effect**, a key manifestation of fiscal illusion. The findings suggest that when local public goods are financed through external grants rather than visible local taxes, citizens may underestimate their true cost, allowing governments to expand expenditure with limited taxpayer resistance.
11. **Romero, R. C. (2024). The Problem of Measurements: Fiscal Transparency and Diverging Outcomes. International Review of Public Policy,** they critically examined the fiscal transparency literature by arguing that the **mixed empirical findings on fiscal transparency are primarily the result of inconsistent conceptualization and measurement rather than differences in transparency itself**. The study demonstrates that researchers employ diverse indicators, methodologies, and outcome variables, making comparisons across studies difficult and often producing contradictory conclusions. To address this issue, the paper conducts a **systematic review of 35 empirical studies** and, providing one of the most comprehensive assessments of fiscal transparency research to date. The study distinguishes between **Normative transparency** (refers to the formal disclosure of fiscal information through budgets, financial reports, legal

frameworks, and institutional rules) whereas **experienced transparency** reflects whether citizens, civil society, and other stakeholders can actually access, understand, and use this information in practice). Many governments perform well on formal transparency indicators, such as the **Open Budget Index (OBI)**. Using the PRISMA approach, the authors systematically reviews studies retrieved from Web of Science, Scopus, Google Scholar, and other academic databases. The analysis evaluates how different measurement strategies influence estimated relationships between fiscal transparency and outcomes such as **budget efficiency, fiscal sustainability, corruption control, governance quality, institutional performance, public reputation, and investment climate**. The review finds that **most empirical studies report positive effects of fiscal transparency**. A key finding of the analysis is that **perceived (experienced) transparency frequently produces stronger estimated effects than formal (normative) transparency**. It shows that **simply publishing fiscal information is insufficient to eliminate information asymmetry**. Fiscal illusion persists when citizens cannot understand or effectively use fiscal information, even if governments formally disclose budgets and financial reports.

12. [Kjaergaard, M. \(2015\). The Flypaper Effect: Do Political Institutions Affect Danish Local Governments' Response to Intergovernmental Grants? Local Government Studies](#) he investigates whether **political institutions influence the flypaper effect** in Danish local governments. This study asks whether the strength of the flypaper effect varies according to local political institutions. The paper argues that political factors such as the composition of local councils, electoral competition, and governance structures may shape how municipalities allocate grant revenues. The study uses panel data from Danish municipalities and analyses local government expenditure in relation to intergovernmental grants, local revenues, and political institutional characteristics. The empirical framework estimates whether differences in political institutions alter municipalities' spending responses to grants, thereby testing whether the flypaper effect is conditioned by political decision-making rather than purely fiscal incentives. The empirical results confirm the existence of a **flypaper effect** in Denmark: municipalities increase public expenditure more in response to grants than to comparable increases in local income. Thus, the flypaper effect is not a uniform phenomenon; its intensity depends partly on the institutional environment in which local governments operate. The paper contributes to the fiscal federalism literature by integrating **political institutional analysis** with

the theory of the flypaper effect. It suggests that reforms aimed at improving fiscal efficiency should consider not only the design of intergovernmental transfer systems but also the political institutions governing local decision-making. A limitation of the study is that it focuses exclusively on **Danish municipalities**, whose highly decentralized and transparent governance system may limit the applicability of the findings to developing countries or other federal systems. This study is relevant because it demonstrates that intergovernmental grants alone do not determine local public expenditure; political institutions also influence how grant resources are translated into public goods. The findings imply that the relationship between fiscal illusion and local public spending is mediated by institutional factors, as political structures affect governments' responses to externally financed revenues.

13. **Pehlivan, C., Han, A., & Konat, G. (2021). Empirical Analysis of Public Expenditure-Growth Relationship in OECD Countries: Testing the Wagner** This study investigates whether **Wagner's Law** or the **Keynesian hypothesis** better explains the relationship between public expenditure and economic growth across **37 OECD countries** from **2000–2019**. The findings show that Wagner's Law is supported in some OECD countries, whereas the Keynesian hypothesis is more applicable in others, indicating that the expenditure–growth relationship differs across countries and expenditure categories rather than following a single universal pattern. It provides a useful macroeconomic foundation for understanding how public expenditure evolves with economic growth.
14. **Cuadrado-Ballesteros, B., et al. (2023). Fiscal Transparency, Citizen Trust, and Public Sector Accountability:** The review finds that higher levels of fiscal transparency generally improve government accountability, reduce corruption, strengthen fiscal discipline, enhance public trust, and increase the efficiency of public expenditure. Transparent budget processes allow citizens to monitor government actions more effectively, thereby reducing opportunities for fiscal mismanagement and political opportunism. The authors emphasize the transparency alone is not sufficient to improve governance outcomes. The effectiveness of fiscal transparency depends on complementary institutional factors such as citizen participation, institutional quality, political accountability, administrative capacity, and access to understandable fiscal information. He identifies several limitations in the existing literature. Most empirical studies rely on **cross-country indices**, such as the **Open Budget Index (OBI)**, which primarily measure the availability of fiscal information

rather than its accessibility or actual use by citizens. This study demonstrates that transparent and accessible fiscal information is essential for reducing information asymmetry between governments and citizens. When taxpayers clearly understand how local public goods are financed, fiscal illusion is less likely to occur, leading to more informed voting decisions and stronger government accountability.

15. **Sam, A. A. R., Haliah, H., Kusumawati, A., et al. (2024). Disclosure of Transparency, Accountability and Value for Money Concept in Public Sector Financial Management.** The study argues that these three principles are the foundation of good public governance because they promote efficient resource allocation, strengthen public trust, improve financial accountability, and enhance the quality of public services. The objective is to synthesize existing empirical evidence on how these concepts contribute to effective public financial management and to identify the major challenges affecting their implementation. The authors conduct an SLR using **Scopus-indexed publications**, reviewing studies on public financial management, fiscal transparency, accountability, and value for money. The literature is analysed to identify common findings, governance mechanisms, implementation challenges, and policy recommendations related to public sector budgeting and financial management. These include limited transparency in financial information, weak public participation, inadequate financial information systems, insufficient administrative capacity, and regulatory constraints. This study emphasizes that transparent and accountable public financial management reduces information asymmetry between governments and citizens. When citizens clearly understand how local public goods are financed, how budgets are allocated, and whether expenditures provide value for money, they are less likely to suffer from fiscal illusion.
16. **Mursalin, M., & Khaeriyah (2025). Accountability and Transparency in Regional Budget Management for Good Governance. International Journal of Economics, Commerce, and Management,** The study argues that effective management of public finances requires governments to ensure that budgetary decisions are transparent, accountable, and open to public scrutiny. The key finds that **strong accountability mechanisms**, including reliable financial reporting, internal and external auditing, performance evaluation, and legislative oversight, significantly improve the quality of regional budget management. Likewise, **fiscal transparency**—through timely disclosure of budget information, public access to financial reports, citizen participation, and the use of digital governance platforms—strengthens institutional legitimacy, enhances

budget efficiency, and helps prevent corruption. The study emphasizes that transparency and accountability are complementary; transparency provides citizens with information, while accountability ensures that public officials are answerable for their financial decisions. This study shows that **greater fiscal transparency and accountability reduce information asymmetry between governments and citizens**. When budgets, expenditures, and public projects are openly disclosed and effectively monitored, citizens are better able to understand the true cost and benefits of local public goods, thereby reducing the scope for **fiscal illusion**. Although the paper does not directly analyse voter behavior, it suggests that stronger transparency, public participation, and digital disclosure can promote **more informed voting decisions, greater trust in local governments, and improved accountability in the provision of local public goods**.

17. [Veiga, F. J., Opačak Eror, M., & Prijaković, S. \(2025\). Online Local Budget Transparency and Local Elections in Croatia. Economics & Politics.](#) This study examined how **online local budget transparency (OLBT)** influences electoral outcomes in Croatian local governments and it based on the premise that fiscal transparency reduces information asymmetry between politicians and voters, enabling citizens to make more informed electoral decisions. Drawing on the theories of **political budget cycles (PBCs)** and **voting behavior**, the authors test two hypotheses: (1) that voters reward greater budget transparency, and (2) that transparency reduces the electoral benefits politicians gain from opportunistic increases in public expenditure before elections. The study uses **panel data covering up to 556 Croatian cities and municipalities** in the **2017 and 2021 local elections**, focusing on incumbent mayors and municipal heads seeking re-election. This study demonstrates that budget transparency reduces information asymmetry and enables voters to distinguish genuine public service provision from politically motivated spending increases. The findings imply that when citizens have easy online access to budget information, fiscal illusion is reduced, opportunistic spending becomes less effective, and electoral decisions are based more on actual government performance than on short-term fiscal manipulation.
18. [Oh, Y. \(2024\). Fiscal Illusion and Democratic Maturity: Exploring the Roles of Information, Trust, and Participation in Citizens' Perception of Taxes and Spending.](#) The study argues that fiscal illusion is not merely a consequence of complex tax systems but also reflects the quality of democratic institutions. The empirical findings show that greater fiscal information, higher trust in government, and stronger citizen participation

significantly reduce fiscal illusion. The results further indicate that transparency alone is insufficient unless it is accompanied by institutional trust and opportunities for public participation in fiscal decision-making. The study concludes that governments, particularly in developing countries, should strengthen **budget transparency, public communication, civic engagement, and institutional trust** to improve fiscal awareness and promote sustainable public finance. This study is demonstrates that voter perceptions are shaped by the quality of democratic institutions. It shows that information, trust, and citizen participation reduce fiscal illusion, enabling voters to better understand the true costs of financing public goods. The results further indicate that transparency alone is insufficient unless it is accompanied by institutional trust and opportunities for public participation in fiscal decision-making.

19. [Noma, K. \(2025\). Fiscal Illusion at the Individual Level. Public Choice](#), this study directly investigates whether individual taxpayers misperceive their **total tax burden** and the **cost of public services**. The study employs a large-scale online survey experiment involving 4,480 representative UK employees. Participants were randomly assigned to either a treatment group, which received a personalized fiscal sheet balance generated through a novel fiscal calculator, or a control group, which received no such information. The fiscal calculator estimated each participant's total annual tax liabilities—including major direct and indirect taxes—and showed how these taxes contributed to financing different public services. This is the first empirical study to provide individualized information on both sides of the fiscal account (taxes paid and public spending financed), making it a methodological innovation in fiscal illusion research. The empirical findings provide strong causal evidence of fiscal illusion arises from imperfect information rather than deliberate voter preferences for larger government. It provides individual-level causal evidence that better fiscal information changes citizens' preferences regarding taxation and government spending. The findings imply that voters' support for local public goods depends not only on the benefits they receive but also on their understanding of the true costs of financing those goods.
20. [Guccio, C., Martorana, M., Mazza, I., & Rizzo, I. \(2016\). Fiscal Illusion as an Incentive for Local Government Public Employment: Evidence from Italian Municipalities](#). This study investigates whether fiscal illusion created by intergovernmental transfers encourages local governments to expand **public employment**. The empirical results provide strong evidence that fiscal illusion significantly increases

municipal public employment. Municipalities receiving larger intergovernmental transfers employ more public workers than municipalities relying primarily on own-source revenues. The findings indicate that externally financed revenues reduce taxpayers' awareness of the true cost of public employment, allowing local politicians to expand government payrolls with limited voter resistance. This supports the **fiscal illusion hypothesis**, showing that grant dependence weakens fiscal accountability and encourages government expansion. Greater fiscal autonomy and improved transparency in local government finance can reduce fiscal illusion and promote more efficient public employment policies. This study demonstrates that fiscal illusion affects not only government expenditure but also the composition of public spending, particularly public employment. It shows that when voters do not fully perceive the financing of local government activities, politicians have incentives to expand public employment through grant-funded budgets. Although, it provides strong evidence that information asymmetry between taxpayers and governments influences local fiscal decisions.

21. [Bronić, M., Stanić, B., & Prijaković, S. \(2022\). The Effects of Budget Transparency on the Budget Balances and Expenditures of Croatian Local Governments. South East European Journal of Economics and Business](#), The study is motivated by the argument that transparent budgets reduce **information asymmetry** between governments and citizens, allowing voters to monitor public finances more effectively and hold politicians accountable, particularly during election periods. The authors investigate whether greater transparency leads to better **budget balances**, lower **political budget cycles (PBCs)**, and more efficient local public expenditure. The empirical findings reveal that higher budget transparency is associated with increased public expenditure and a greater probability of budget deficits, particularly in poorer municipalities. Transparency increases citizens' confidence in local governments, encouraging greater demand for public goods and services and making governments more willing to expand spending. Greater transparency reduces **fiscal illusion** by making budget information more accessible, enabling citizens to distinguish between genuine public service provision and politically motivated spending. The study therefore provides strong evidence that budget transparency is a key institutional mechanism linking fiscal illusion, voter accountability, and the provision of local public goods, making it directly relevant to research on fiscal illusion and voters' response to local public goods.

22. [Wildowicz-Giegiel, A., & Kargol-Wasiluk, A. \(2019\). The Phenomenon of Fiscal Illusion from Theoretical and Empirical Perspective: The Case of Euro Area Countries. *Equilibrium. Quarterly Journal of Economics and Economic Policy*](#). The concept of **fiscal illusion** by integrating both **theoretical and empirical perspectives** and assessing its relevance for **Euro Area countries**. The study reviews the evolution of fiscal illusion theory from **Puviani (1903)**, **Buchanan (1967)**, and Public Choice theory, arguing that complex tax systems, public debt, inflation, intergovernmental transfers, and non-transparent budgeting can cause taxpayers to underestimate the true cost of government activities. It examines various indicators associated with fiscal illusion, including government debt, budget deficits, tax complexity, fiscal transparency, and institutional quality, to evaluate how these factors affect fiscal sustainability and government expenditure. It suggests that when tax systems are complex and fiscal information lacks transparency, voters are more likely to underestimate the true cost of local public goods, resulting in higher demand for government spending and weaker fiscal accountability. The study therefore supports the argument that improving fiscal transparency and strengthening fiscal institutions can reduce fiscal illusion, promote informed voter behavior, and enhance the efficient provision of local public goods.
23. [Martin, E. \(2021\). The Worrisome Mechanics of Fiscal Illusion](#)-The article argues that governments often use fiscal arrangements that make taxation less visible, causing citizens to underestimate the true cost of government spending. Fiscal illusion weakens the connection between taxpayers and public expenditures, reducing democratic accountability. These include indirect taxes, withholding taxes from salaries, multiple small taxes, public debt financing, and complex tax systems that make it difficult for citizens to calculate their actual tax burden. Taxpayers do not fully perceive the costs of government; they may support higher levels of public expenditure than they would under complete information. The article concludes that reducing fiscal illusion requires greater fiscal transparency, simpler tax systems, clearer disclosure of tax burdens, and stronger tax competition among jurisdictions. It explains the fundamental mechanisms through which voters misperceive the costs of public goods. It suggests that when taxes are hidden through indirect taxation, debt financing or complex fiscal arrangements, citizens are more likely to demand additional public services without recognizing their full cost.
24. [Hira, A., & Swartz, T. \(2003\). Taxes: The Myths and Realities](#)-The paper argues that public opinion on taxes is often shaped by

misinformation, political rhetoric, and limited understanding of how tax systems operate, leading citizens to hold unrealistic expectations about public expenditure and government finance. Rather than advocating either high or low taxation, the authors emphasize the need for evidence-based evaluation of tax policy. They showed the relationship between taxation, economic growth, income distribution, and public service provision. It challenges several popular myths, including the belief that all tax reductions automatically stimulate economic growth or that higher taxes necessarily reduce economic efficiency. The authors argue that the effects of taxation depend on tax design, institutional quality, and how governments allocate public revenues. They also stress that taxation finances essential public goods such as education, healthcare, infrastructure, and social protection, which can contribute positively to long-run economic development. The study concludes that transparent tax systems and informed citizens are essential for effective fiscal policy. It demonstrates that **misperceptions about taxation influence citizens' attitudes toward government spending**. The authors argue that when taxpayers do not fully understand how taxes finance public services, they may develop unrealistic expectations about the provision of public goods.

25. **West, E. G., & Winer, S. L. (1980). Optimal Fiscal Illusion and the Size of Government. Public Choice, 35(5)** –They develop a theoretical model explaining why governments may deliberately create fiscal illusion to expand the size of the public sector. Building on the ideas of **Buchanan and Wagner (1977)** and the **median voter model**. The study introduces the concept of **optimal fiscal illusion**, suggesting that governments invest in fiscal illusion only up to the point where the political benefits of expanding public expenditure exceed the costs of creating and maintaining that illusion. The effectiveness of fiscal illusion depends on factors such as imperfect political competition, information costs, and limited voter awareness. The authors conclude that fiscal illusion can contribute to larger government budgets, but it cannot by itself explain the long-run growth of government. It explains how governments may strategically use complex taxation and information asymmetry to influence voters' perceptions of the cost of public goods. The study suggests that when voters underestimate the tax price of local public services, they are more likely to support higher public expenditure.
26. **Ross, J. M. (2015). The Effect of Property Reassessments on Fiscal Transparency and Government Growth: Evidence from Virginia**–The study is based on the **revenue elasticity hypothesis** of fiscal illusion, which argues that taxpayers often focus on property tax rates rather than

the overall tax burden. During property reassessments, increases in property values may allow governments to collect higher tax revenues even when nominal tax rates are reduced, causing voters to underestimate the actual growth in taxation and government spending. The empirical results show that property reassessments increase property tax revenues, even when tax rates decline, because taxpayers pay greater attention to tax rates than to changes in assessed property values. The additional revenues are not immediately spent but are often accumulated as reserves and gradually incorporated into future government expenditures, thereby contributing to long-term government growth while reducing the visibility of the revenue increase. It demonstrates that when taxpayers misunderstand the effects of property reassessments, they underestimate the true cost of financing local public goods. Consequently, greater fiscal transparency in property taxation can reduce fiscal illusion, improve voter awareness, strengthen accountability, and promote more efficient provision of local public goods.

27. [Ross, J. M., & Mughan, S. \(2018\). The Effect of Fiscal Illusion on Public Sector Financial Management: Evidence from Local Government Property Assessment. Public Finance Review-](#) It examined how fiscal illusion created through property tax reassessments affects public sector financial management in local governments. The study is based on the **revenue-visibility hypothesis**, which argues that taxpayers often pay more attention to **property tax rates** than to changes in property assessments. As a result, governments can increase tax revenues through reassessments without taxpayers fully recognizing the increase in their tax burden, creating fiscal illusion. Rather than immediately spending these additional revenues, local governments tend to accumulate them as financial reserves (net assets) and gradually use these reserves to finance future expenditures. The study concludes that fiscal illusion influences not only tax collection but also public financial management. It provides direct empirical evidence that reduced tax visibility allows local governments to increase revenues and expand public spending with limited voter awareness. It demonstrates that when taxpayers underestimate the true cost of financing local public goods, governments gain greater fiscal discretion. The findings suggest that greater fiscal transparency in property taxation can reduce fiscal illusion, improve voter awareness, strengthen democratic accountability, and promote more efficient provision of local public goods.
28. [Onyango Delewa, P. \(2020\). Fiscal Illusion as an Incentive for Local Government Public Expenditure Efficiency: The Influence of](#)

Community Sensitization. *Jurnal Perspektif Pembiayaan dan Pembangunan Daerah*, 7(4) –they examine how fiscal illusion influences public expenditure efficiency in local governments and whether community sensitization (public awareness and civic education) mediates this relationship. The study is conducted in Uganda's Northern Region, covering **16 districts, 6 municipalities, and 160 sub-counties**, where post-conflict governance poses challenges for efficient public financial management. The research is grounded in **Fiscal Illusion Theory**, arguing that citizen's misperceptions about government revenues and expenditures can reduce spending efficiency. The findings show that all four dimensions significantly influence public expenditure efficiency, indicating that fiscal illusion is an important determinant of how efficiently local governments utilize public resources. The study concludes that reducing fiscal illusion through greater transparency, stronger accountability, improved tax awareness, and better fiscal governance is essential for improving local government expenditure efficiency. It shows that when citizens misperceive government finances through tax payment bias, fiscal imbalances, or political manipulation, local governments are more likely to allocate resources inefficiently. Although community sensitization alone was not sufficient to reduce these effects, the findings highlight the importance of fiscal transparency, accountability, and institutional reforms in improving voter awareness and ensuring the efficient provision of local public goods.

29. **Congleton, R. D. (2001). Rational Ignorance, Rational Voter Expectations, and Public Policy: A Discrete Informational Foundation for Fiscal Illusion.** He develops a theoretical explanation of **fiscal illusion** based on the concept of **rational ignorance**. The paper argues that voters may deliberately remain uninformed about complex fiscal issues because acquiring detailed information is costly, while the influence of a single vote on election outcomes is very small. Consequently, even rational voters can hold biased expectations about taxes, public expenditure, and government finances, creating fiscal illusion. The study further argues that electoral competition reduces—but does not eliminate—the effects of voter ignorance, because politicians mainly respond to relatively informed voters while uninformed voters remain vulnerable to fiscal misperceptions. It explains why informed voting may fail even when voters behave rationally. It shows that information costs can lead citizens to underestimate the true cost of financing **local public goods**, resulting in greater acceptance of government spending and weaker fiscal oversight. Therefore, provides a

strong theoretical basis for examining how fiscal transparency, voter information, and democratic institutions influence voters' responses to local public goods and government expenditure decisions.

30. [Banushaj, A., & Crimi, G. \(2019\). The Flypaper Effect. European Scientific Journal.](#) The authors discuss the major explanations for the Flypaper Effect, including **fiscal illusion, bureaucratic behavior, political incentives, and institutional factors**. They argue that fiscal illusion arises because taxpayers often perceive grants from higher levels of government as "**free money**", underestimating the true tax cost of financing local public services. This reduced tax awareness weakens voter resistance to higher public expenditure and encourages local governments to expand spending beyond what would occur if services were financed solely through local taxes. Reviewing evidence from several countries, the study finds that the Flypaper Effect is a persistent and well-documented phenomenon, although its magnitude differs across institutional settings. The authors conclude that grant dependence can reduce fiscal accountability and encourage government expansion, particularly when budget transparency and citizen awareness are weak. It identifies fiscal illusion as one of the principal explanations for the Flypaper Effect.
31. [\(GÜNEY & Akinci, 2025\)Transparency in Local Governments: A Bibliometric Analysis.](#) The study employs a **Bibliometric analysis** using 784 publications indexed in the Web of Science database. Publications were retrieved using the search terms "**Transparency**" AND "**Local Government**" and analyzed with VOSviewer for citation, co-authorship, keyword co-occurrence, institutional collaboration, and research network visualization. It demonstrates that transparency is a core mechanism for improving accountability, citizen participation, and public trust in local governments.
32. [de Renzio, P., & Wehner, J. \(2017\)The Impacts of Fiscal Openness](#) The study evaluates whether fiscal openness improves fiscal governance, budget quality, accountability, and development outcomes by synthesizing the available empirical evidence rather than conducting new empirical analysis. The review finds consistent evidence that greater fiscal openness is associated with improved fiscal discipline, lower budget deficits and public debt, better budget credibility, enhanced allocation of public resources, stronger government accountability, reduced corruption, and improved governance. It demonstrates that greater fiscal transparency and citizen participation reduce information asymmetry between governments and citizens, thereby strengthening accountability and improving fiscal outcomes. The study provides a strong theoretical and empirical

foundation for arguing that higher fiscal openness can reduce fiscal illusion by making the costs and benefits of public spending more visible to voters.

33. **Hameed, F. (2005). Fiscal Transparency and Economic Outcomes**-The study develops a **Fiscal Transparency Index** based on the **IMF Code of Good Practices on Fiscal Transparency** using information from the **Reports on the Observance of Standards and Codes (ROSCs)**. The index measures four major dimensions of fiscal transparency: Data assurances, Medium-term budgeting, Budget execution reporting, Fiscal risk disclosure. It demonstrates that greater fiscal transparency improves accountability, fiscal discipline, and public confidence by making government finances more visible. These findings support the theoretical argument that increased transparency reduces fiscal illusion, enabling citizens to better understand the true costs of taxation and public spending. Consequently, the study provides an important conceptual foundation for analyzing how transparency may influence voters' perceptions, electoral behavior, and demand for efficient local public goods, while highlighting the need for future research using individual-level and local-government evidence.
34. **Mozin, S. Y., Abdussamad, S. N., & Saputra, I. N. A. (2025). The Role of Transparency and Accountability in Local Government Financial Management**-The study aims to synthesize national and international evidence on how these two governance principles contribute to effective, efficient, and ethical management of local public finances. The review is grounded in three major theoretical perspectives: **Good Governance Theory, Agency Theory, and New Public Management (NPM)**. According to the authors, transparency and accountability are fundamental pillars for strengthening public trust, reducing corruption, and ensuring responsible use of public resource. It demonstrates that greater transparency and accountability reduce information asymmetry between governments and citizens, enabling voters to better understand public finances and evaluate government performance. Although the review does not directly examine fiscal illusion, it supports the argument that improved fiscal transparency can reduce fiscal illusion, strengthen public accountability, and promote more informed citizen responses to local public goods. At the same time, the paper highlights an important research gap by not directly investigating how transparency influences voter behavior, fiscal awareness, and electoral decisions, especially in local government contexts.

35. [Qurratunnisa, R., Dewi, F. G., & Nauli, P. \(2026\). Reviewing the Evidence: How Key Fiscal Instruments Associated with Opportunistic Behavior](#)- they focuses on five key fiscal variables: **Local Own-Source Revenue (PAD), General Allocation Fund (DAU), Special Allocation Fund (DAK), Revenue-Sharing Fund (DBH), the Flypaper Effect, and Budget Surplus**. The authors investigate how these instruments shape government spending decisions, especially during periods of political competition and local elections, where fiscal policy may be used strategically to maximize electoral support. Opportunistic fiscal behavior is influenced not only by fiscal transfers but also by political incentives, institutional quality, fiscal transparency, and accountability mechanisms. The review emphasizes that stronger governance, improved public financial management, and greater transparency are necessary to reduce politically motivated expenditure decisions and promote efficient allocation of public resources. It demonstrates that intergovernmental transfers, fiscal dependence, and the Flypaper Effect can encourage governments to expand expenditure in ways that are not always aligned with citizens' actual preferences. The review also shows that fiscal transparency and accountability are essential for reducing opportunistic fiscal behavior.
36. [Yao, H. \(2024\). Study of the Impact of Fiscal Transparency on Local Government Debt](#) The study is motivated by growing concerns over rapidly increasing local government debt and argues that strengthening fiscal transparency is an important institutional mechanism for improving fiscal governance and reducing debt risks. Drawing on **Principal-Agent Theory** and the **Soft Budget Constraint Theory**, the paper explains that low fiscal transparency creates information asymmetry, weakens public oversight, and encourages excessive borrowing by local governments. Government should strengthen budget disclosure, improve debt reporting systems, reduce information asymmetry, and establish stronger institutional oversight to control debt risks. Fiscal transparency should be viewed not merely as an information disclosure mechanism but as an institutional reform that improves fiscal discipline and debt sustainability. It demonstrates that greater fiscal transparency strengthens accountability and constrains excessive government borrowing by reducing information asymmetry.
37. [Haus, M., Wehner, J., & de Renzio, P. \(2022\). When \(Do\) Open Budgets Transform Lives? Progress and Next Steps in Fiscal Openness Research](#)-provide an updated evidence review of the growing literature on fiscal openness, examining whether budget transparency and

public participation lead to measurable improvements in governance, accountability, and development outcomes. It demonstrates that greater fiscal transparency and citizen participation improve electoral accountability, reduce corruption, and enhance the quality of public spending by reducing information asymmetry between governments and citizens. The key empirical findings are Fiscal openness significantly reduces corruption. Budget transparency strengthens electoral accountability by enabling citizens to better evaluate government performance. Participatory budgeting improves resource allocation, public procurement, and revenue mobilization. Evidence supporting fiscal openness has become much stronger since 2015 due to improved research designs. Limited but growing evidence links fiscal openness to broader human development outcomes.

38. **Alani Olusegun Efuntade and Olubunmi Omotayo Efuntade** **Relevance of Fiscal Illusion Proposition and Wagner Theory to Nigerian Budget Performance (Nexus among Fiscal Illusion Index, Recurrent and Capital Budget)**-This study examines the relationship between fiscal illusion, Wagner's Law, and budget performance in Nigeria, focusing on how fiscal illusion influences the allocation of recurrent and capital expenditure. The authors seek to determine whether fiscal illusion encourages governments to expand public expenditure by obscuring the true tax burden from citizens and whether Wagner's Law—which argues that public expenditure increases with economic development—adequately explains Nigeria's budgetary performance. The study integrates **Fiscal Illusion Theory** and **Wagner's Theory of Public Expenditure** to explain persistent growth in government spending despite fiscal constraints. A **Fiscal Illusion Index (FII)** is constructed using indicators such as public debt, intergovernmental transfers, tax composition, and other fiscal variables. Some key empirical findings are Fiscal illusion has a significant positive effect on overall government expenditure. The impact is stronger for recurrent expenditure than for capital expenditure. Wagner's Law is supported, indicating that economic growth contributes to higher public spending. Fiscal illusion further accelerates expenditure growth by reducing taxpayers' awareness of financing costs.
39. **Rengifo Khan, M. A., et al. (2025).Efficiency and Effectiveness of Public Expenditure in Regional Governments**-The study aims to identify the principal determinants of efficient public spending and evaluate how governance mechanisms, transparency, accountability, strategic planning, and institutional capacity contribute to improving the

quality of government expenditure. The authors argue that increasing public expenditure alone does not guarantee better development outcomes; rather, the effectiveness of spending depends on how efficiently public resources are managed and allocated. The key findings are transparency and accountability significantly improve public expenditure efficiency. Strategic planning and performance-based budgeting enhance government effectiveness. Strong institutional capacity leads to better financial management and service delivery. Digital governance reduces corruption and improves expenditure monitoring. Citizen participation strengthens accountability and increases the quality of public spending. Internal control and evaluation mechanisms reduce waste and improve budget performance. It supports the argument that increasing fiscal transparency can reduce information asymmetry, strengthen government accountability, and improve the quality of local public goods.

40. **Gavazza, A., & Lizzeri, A. (2009). Transparency and Economic Policy. Review of Economic Studies**-The model shows that low transparency encourages governments to increase targeted transfers, even when taxation is distortionary. As a result, government spending and public debt become higher in less transparent political systems. The authors also introduce the concept of fiscal churning, whereby governments simultaneously increase taxes and transfers, creating unnecessary redistribution without improving overall welfare. Lower political transparency increases government spending and public debt. Imperfect information creates **fiscal illusion**, encouraging excessive targeted transfers. Less visible transfer recipients receive larger government benefits. Fiscal illusion can lead to **under provision of public goods**.

Analysis

Author (Year)	Research Focus	Methodology	Data Type	Empirical Findings	Critical Analysis
Araújo & Siqueira (2016)	Fiscal illusion and local public expenditure	Median voter model; panel econometric analysis	Secondary	Fiscal illusion increases demand for local public expenditure through	Strong theoretical foundation but assumes rational median voter;

				transfer dependence.	ignores behavioral and psychological factors influencing voters.
Schwegman and Kim (2025)	Tax salience and evaluation of government performance	Randomized survey experiments	primary	Greater tax salience improves fiscal awareness, increases government accountability, and reduces fiscal illusion.	Focuses on short-term attitudes in a specific context, limiting generalizability and not examining actual voting behavior.
Islam M.N (1998)	Intergovernmental grants on local government spending and tests the fiscal illusion hypothesis	Time series and pooled panel with generalized two stage least square	Secondary	Provincial grants create fiscal illusion by increasing local government expenditure through lowering the perceived tax burden..	Strong empirical evidence, but limited by indirect measurement and single-country focus.
Banzhaf & Oates (2013))	Ricardian equivalence and renter effect in local public finance	Referendum data and regression models.	Secondary	Supports debt illusion but finds little evidence for the renter effect	limited to U.S. governments and indirect measures of fiscal illusion
Krah & Mertens (2022)	Fiscal transparency and fiscal outcomes	Cross-country panel regression	secondary	Higher transparency improves fiscal discipline and accountability.	Focuses on transparency, not direct measurement of fiscal illusion or voter response.
Bhabesh and Hazarika	fiscal illusion, flypaper effect, and	Panel econometric analysis	Secondary	Intergovernmental transfers and fiscal	Robust analysis, but limited to

(2022)	Wagner's Law	with Pooled Mean Group (PMG) estimation.		deficits increase fiscal illusion and the flypaper effect.	state-level data and lacks voter-level evidence.
Bardhan, P., Mitra, S., Mookherjee, D., & Nath, A. (2024)	Examines voters' preferences for welfare programs versus public goods.	Theoretical model (survey and electoral data)	Primary and secondary	Targeted welfare gains more voter support than public goods.	Strong voter evidence, but limited to clientelism rather than fiscal illusion.
Goyal, T. (2024)	rural public goods, focusing on India's Pradhan Mantri Gram Sadak Yojana (PMGSY)	Quasi-experimental econometric analysis	Secondary	Better public goods increase electoral support for incumbents.	Strong causal evidence, but excludes fiscal illusion and tax perceptions.
Pommerehne, W. W., & Schneider, F. (1978)	Fiscal illusion, political institutions, and local public spending.	Cross sectional econometric analysis	Secondary	Fiscal illusion increases local public spending, while political institutions improve fiscal discipline.	Pioneering study, but limited by indirect measures and a Swiss-only context.
Karnik, A., & Lalvani, M. (2005)	Flypaper effect in urban local governments in Maharashtra, India.	Panel econometric regression analysis	Secondary	Intergovernmental grants increase local public spending, confirming the flypaper effect.	Provides Indian evidence on the flypaper effect but lacks voter-level analysis.
Romero, R. C. (2024)	fiscal transparency measures	Cross-country econometric assessment	Secondary	Transparency measures yield different fiscal outcomes.	Strong transparency insights, but lacks fiscal illusion and voter analysis.

Kjaergaard, M. (2015)	Political institutions influence the flypaper effect in Danish local governments.	Panel econometric analysis	Primary	Strong asymmetric flypaper effect; spending rises more with grant increases	Not explaining the deeper behavioral and cross-national drivers behind fiscal responses to intergovernmental grants.
Pehlivan, C., Han, A., & Konat, G. (2021).	Wagner's Law or the Keynesian hypothesis better explains the relationship between economic growth	Panel regression model	Secondary	Wagner's Law is supported in some OECD countries, while the Keynesian hypothesis is supported in others,	Strong cross-country analysis, but does not examine fiscal illusion or voter behavior.
Cuadrado-Ballesteros et al. (2023)	Transparency and governance	Panel analysis	Secondary	Transparency improves accountability	No voter behavior
Sam et al (2024)A. A. R., Haliah, H., Kusumawati	Transparency and accountability	Empirical governance analysis	Secondary	Disclosure improve trust	Governance focus
Mursalin, M., & Khaeriyah (2025).	Transparency and public finance	Empirical case study	Secondary	Transparency enhance service delivery	Country specific
Veiga, F. J., Opačak Eror, M., & Prijaković, S. (2025).	Online budget transparency	Fixed effect panel regression	Secondary	Transparent municipalities receive greater electoral support while opportunistic spending decline	Limited to Croatian local government
Oh, Y. (2024	Democratic maturity and	Survey experiment	Primary	Information trust and	Lacks long term

	fiscal illusion			participation significantly reduce fiscal illusion	electoral behavior analysis
Numa, K. (2025)	Fiscal illusion at individual level	Randomized survey experiments	Primary	Personalized fiscal information reduces support for higher taxes and spending	Limited to UK employees and short term attitudes
Guccio, C., Martorana, M., Mazza, I., & Rizzo, I. (2016)	Fiscal illusion and municipal employment	Panel econometric analysis	Secondary	Grant dependence increases municipal public employment	Measure illusion indirectly through grants
Bronić, M., Stanić, B., & Prijaković, S. (2022)	Budget transparency and local fiscal performance	Dynamic panel estimation	Secondary	Transparency reduces political budget cycles but may increase expenditure due to higher public trust	Does not directly examine voter perceptions or fiscal illusion mechanisms
Wildowicz-Giegiel, A., & Kargol-Wasiluk, A. (2019).	Fiscal illusion in euro areas	Review+ empirical macro analysis	Secondary	Fiscal illusion contribute to debt and imbalances	Macro focus
Martin E (2021)	Governments use fiscal illusion to hide taxation burdens, weaken accountability, and sustain higher spending.	Conceptual and analytical approach	Secondary	use of indirect taxes, withholding systems, and fragmented levies that obscure true tax burdens; fiscal illusion slows economies	limited cross-country empirical evidence; does not explore citizen-level behavioral responses or long-term institutional reforms
Hira, A., & Swartz, T. (2003)	Tax myths	Conceptual review	Secondary	Fiscal knowledge affect tax	Not direct fiscal illusion

				perceptions	
West, E. G., & Winer, S. L. (1980)	Optimal fiscal illusions	Mathematical public choice model	Conceptual	Government strategically create fiscal illusion	No voters response evidence
Ross, J. M. (2015).	Property reassessment and fiscal transparency	Natural experiment; panel regression	Secondary	Property reassessment increase revenues while reducing tax visibility	Limited to Virginia property taxation
Ross, J. M., & Mughan, S. (2018)	Fiscal illusion and financial management	Panel econometric analysis	Secondary	Hidden property tax increases , improve reserves and future spending	Focus on financial management
Onyango-Delewa, P. (2020)	Fiscal illusion and expenditure efficiency	SEM	Primary	Fiscal illusion reduces expenditure efficiency	Uganda context only
Congleton (2001)	Rational ignorance and fiscal illusion	Theoretical public choice model	Conceptual	Rational ignorance provides informational basis for fiscal illusion	No empirical validation
Banushaj, A., & Crimi, G.(2019)	Flypaper effect	Review of empirical literature	Secondary	Grant dependence weakens accountability	Descriptive
GÜNEY & Akinci, (2025)	transparency in local governments as a principle of accountability	Bibliometric analysis of Web of Science indexed publications (1997–2025). Focus on SSCI and ESCI journals,	Secondary	Transparency research peaked in 2020, dominated by political science, management, and economics. Contributions from 90+ countries	Lack of empirical case studies on local government practices; insufficient exploration of digital transparency tools and developing country

					perspectives.
de Renzio, P., & Wehner, J. (2017)	Fiscal transparency and participation affect governance outcomes and resource allocation.	Systematic review	Secondary	Fiscal openness improves budget quality, enhances electoral accountability , and strengthens resource allocation.	Limited evidence on direct voter behavior and long-term democratic outcomes.
Hameed F (2025)	fiscal transparency influences macroeconomic performance, fiscal discipline,	Cross-country econometric analysis with IMF	Secondary	Transparency reduces fiscal illusion by making tax burdens visible, thereby improving voter accountability .	focus on macroeconomic outcomes rather than micro-level voter responses
Mozin, S. Y., Abdussamad, S. N., & Saputra, I. N. A. (2025).	Transparency and accountability reducing fiscal illusion, and enhancing democratic responsiveness.	Systematic Literature Review(SLR)	Secondary	Stronger accountability mechanisms improve fiscal discipline and voter confidence.	Limited direct evidence on how voters respond to transparency reforms
Qurratunni sa, R., Dewi, F. G., & Nauli, P. (2026).	How fiscal instruments are associated with opportunistic behavior by governments, creating fiscal illusion and undermining accountability.	Systematic Literature Review(SLR)	Secondary	Opportunistic use of fiscal instruments creates fiscal illusion,	Lacks econometric testing of causal links
Yao. H (2024)	How openness influences	Panel regression	Secondary	Higher fiscal transparency	Limited evidence on

	borrowing practices and fiscal discipline.	model		correlates with lower debt accumulation and improved fiscal discipline	direct voter response to transparency reforms; lacks cross-country comparative validation
Haus, M., Wehner, J., & de Renzio, P. (2022),	How fiscal openness leads to improved governance, accountability, and social outcomes.	Conceptual	Secondary	Fiscal openness improves budget quality, reduces corruption, and strengthens accountability .	Need for identification of how openness reduces fiscal illusion; limited evidence on voter response
Alani Olusegun Efuntade and Olubunmi Omotayo Efuntade (2021)	Fiscal illusion theory	Ordinary Least Squares (OLS) and multiple regression models	Secondary	Fiscal illusion leads to overspending on expenditure, weakening capital investment; Wagner's Law holds partially but is distorted by illusionary practices.	Limited evidence on voter accountability
Rengifo khan M. A., et al. (2025).	Public expenditure efficiency	SLR (PRISMA)	Secondary	Transparency improve efficiency	No original empirics
Gavazza, A. & Lizzeri, A. (2009),	transparency in policy-making affects government incentives	Theoretical modeling	Conceptual	Transparency improves accountability and reduces fiscal illusion, but excessive openness can lead to short-termism,	Limited empirical testing of theoretical predictions

Comprehensive Research Article Matrix: Fiscal Illusion and Voter Response

Article	Hypothesis	Variables	Theories	Tools	Gaps
Araújo & Siqueira (2016)	Tax complexity/transfers generate fiscal illusion.	IV: Tax complexity; DV: Municipal spending; Inst: Transparency .	Fiscal Illusion, Median Voter.	Panel econometrics.	No voter behavior measure.
Schwegman & Kim (2025)	Low tax visibility increases satisfaction/tax support.	IV: Tax salience; DV: Accountability; Inst: Property tax visibility.	Tax Salience, Fiscal Illusion.	Survey experiment .	Short-term attitudes.
Islam, M. N. (1998)	Grants reduce perceived tax price, causing overspending.	IV: Grants; DV: Local expenditure; Inst: Fiscal capacity.	Fiscal Illusion, Vote-max.	2SLS, Panel data.	Indirect measurement.
Banzhaf & Oates (2013)	Debt/renter effects influence local public finance perceptions.	IV: Debt, Renter status; DV: Public spending; Ctrl: Property values.	Ricardian Equivalence, Fiscal Illusion.	Referendum data regression.	Limited evidence for renter effect.
Krah & Mertens (2022)	Financial transparency enhances trust and willingness to pay.	IV: Financial transparency; DV: Citizen trust, Tax compliance.	Fiscal Governance, Mediation.	Ghana local gov survey.	No explicit illusion test.
Hazarika & Nayak (2022)	Transfers/deficits increase expenditure via illusion.	IV: Transfers, Deficits; DV: State	Fiscal Illusion, Wagner's Law.	PMG estimation.	State-level only.

		expenditure; Inst: Union-State.			
Bardhan et al. (2024)	Voters reward private benefits over community goods.	IV: Benefit type; DV: Electoral support; Inst: Budgeting.	Political Clientelism.	Household survey.	Clientelism focus.
Goyal, T. (2024)	Visible public goods don't always generate electoral rewards.	IV: Road provision; DV: Electoral support; Inst: Accountability.	Political Economy of Accountability.	Quasi-experimental.	Excludes tax perception.
Pommerehne & Schneider (1978)	Political institutions mitigate fiscal illusion effects.	IV: Tax structure; DV: Local spending; Inst: Representative vs Direct Dem.	Public Choice, Fiscal Federalism.	Cross-sectional econometrics.	Swiss-only context.
Karnik & Lalvani (2005)	Grants stimulate spending more than local income (flypaper).	IV: State grants; DV: Municipal spending; Inst: Decentralization.	Flypaper Effect, Fiscal Illusion.	Panel regression (Maharashtra).	Lacks voter-level analysis.
Romero, R. C. (2024)	Measurement inconsistencies cause mixed findings in transparency.	IV: Transparency indicators; DV: Fiscal outcomes; Inst: Budget indices.	Normative vs Experienced Transparency.	PRISMA review (35 studies).	Lacks causal link testing.
Kjaergaard, M. (2015)	Political institutions influence the flypaper effect	IV: Grants, Councils; DV: Municipal expenditure;	Flypaper Effect, Institutional Analysis.	Panel data (Denmark).	Limited to Danish context.

	magnitude.	Inst: Governance.			
Pehlivan et al. (2021)	Wagner's Law vs Keynesian hypothesis depends on country context.	IV: GDP growth; DV: Public expenditure; Ctrl: OECD status.	Wagner's Law, Keynesian Hypothesis.	Panel regression (37 OECD).	No voter behavior.
Cuadrado - Ballesteros (2023)	Transparency improves accountability but needs participation.	IV: Transparency, Participation; DV: Accountability; Inst: Governance quality.	Principal-Agent, Fiscal Openness.	Panel analysis (cross-country).	No direct voter behavior.
Sam et al. (2024)	Value for money disclosure reduces information asymmetry.	IV: Disclosure, VFM; DV: Public trust, Accountability; Inst: Gov mechanisms.	Good Public Governance	SLR (Scopus indexed).	Implementation challenges.
Mursalin & Khaeriyah (2025)	Strong accountability mechanisms improve budget management.	IV: Audit, Oversight; DV: Budget management quality; Inst: Digital platforms.	Good Governance Theory.	Empirical case study.	Country specific.
Veiga et al. (2025)	Online transparency reduces pre-election opportunistic spending.	IV: Online transparency; DV: Electoral support; Inst: Local gov.	Political Budget Cycles.	Fixed effect regression.	Croatia specific.
Oh, Y. (2024)	Trust and participation reduce fiscal illusion effects.	IV: Trust, Participation; DV: Fiscal awareness; Inst:	Democratic Maturity.	Survey experiment	No long-term electoral analysis.

		Democratic maturity.			
Numa, K. (2025)	Personalized fiscal info changes citizen spending preferences.	IV: Personalized info; DV: Tax/spending prefs; Ctrl: Employee data.	Individual Fiscal Illusion.	Randomized Trial (UK).	UK specific.
Guccio et al. (2016)	Transfers incentivize expansion of municipal public employment.	IV: Transfers; DV: Public employment; Inst: Fiscal autonomy.	Fiscal Illusion Hypothesis.	Panel regression (Italy).	Indirect measures.
Bronić et al. (2022)	Transparency reduces cycles but may increase expenditure trust.	IV: Budget transparency; DV: Expenditure, Deficits; Inst: Local gov.	Political Budget Cycles.	Dynamic panel estimation.	No direct voter perception test.
Wildowicz & Kargol (2019)	Complex taxes/debt cause underestimation of costs in Euro Area.	IV: Debt, Complexity; DV: Fiscal sustainability ; Inst: Euro Area quality.	Public Choice Theory.	Review/Macro analysis.	Macro focus.
Martin, E. (2021)	Hidden taxes (indirect, withholding) weaken democratic accountability.	IV: Tax visibility; DV: Accountability, Spending level; Ctrl: Tax complexity.	Fiscal Illusion Mechanisms.	Conceptual analysis.	No empirical testing.
Hira & Swartz (2003)	Misinformation and myths shape public opinion on taxation.	IV: Information, Myths; DV: Tax perceptions, Expectations;	Evidence-based Evaluation.	Conceptual review.	No direct illusion test.

		Ctrl: Politics.			
West & Winer (1980)	Governments strategically create optimal fiscal illusion to expand.	IV: Info costs, Competition; DV: Public sector size; Ctrl: Voter awareness.	Median Voter, Buchanan-Wagner.	Mathematical model.	No empirical response data.
Ross, J. M. (2015)	Reassessments hide revenue growth, reducing transparency.	IV: Reassessments; DV: Tax revenue growth; Inst: Local tax visibility.	Revenue Elasticity.	Natural experiment.	Virginia specific.
Ross & Mughan (2018)	Reduced tax visibility allows expansion of government reserves.	IV: Tax visibility; DV: Financial reserves; Inst: Property assessments.	Revenue-visibility.	Panel econometrics.	Financial focus.
Onyango-Delewa (2020)	Misperceptions reduce spending efficiency in post-conflict zones.	IV: Tax bias, Sensitization; DV: Efficiency; Inst: Post-conflict governance.	Fiscal Illusion Theory.	SEM modeling.	Uganda focus.
Congleton (2001)	Rational ignorance about taxes provides an informational basis for illusion.	IV: Info costs; DV: Voter expectations; Inst: Competition.	Rational Ignorance.	Public choice model.	No empirical validation.
Banushaj & Crimi (2019)	Grant dependence reduces fiscal accountability (free money	IV: Grant reliance; DV: Expenditure levels; Inst:	Flypaper Effect, Fiscal Illusion.	Literature review.	Descriptive.

	perception).	Grant design.			
GÜNEY & Akinci (2025)	Transparency is core to local accountability and trust building.	IV: Transparency ; DV: Trust, Participation; Inst: Local government	Accountability Framework.	Bibliometric analysis (WoS).	Lacks case studies.
de Renzio & Wehner (2017)	Fiscal openness improves budget quality and resource allocation.	IV: Fiscal openness; DV: Governance, Discipline; Inst: Budget credibility.	Information Asymmetry .	Systematic review.	No direct voter behavior.
Hameed, F. (2005)	Transparency reduces illusion and improves macroeconomic outcomes.	IV: Transparency Index; DV: Discipline; Inst: IMF ROSCs.	Information Asymmetry .	Cross-country regression.	Macro focus.
Mozin et al. (2025)	Transparency reduces asymmetry and enables better evaluation.	IV: Transparency , Accountability; DV: Trust, Evaluation; Inst: Good Gov.	Agency Theory, NPM.	SLR review.	No voter behavior data.
Qurratunnisa et al. (2026)	Fiscal instruments (DAU, DAK) associate with opportunistic behavior.	IV: DAU, DAK, DBH; DV: Opportunistic spending; Inst: Political cycles.	Flypaper Effect.	SLR review.	No causal testing.
Yao, H. (2024)	High transparency constrains excessive borrowing and debt risk.	IV: Transparency ; DV: Local debt; Inst: Budget disclosure.	Principal-Agent Theory.	Panel regression.	No voter response.

Haus et al. (2022)	Fiscal openness reduces corruption and strengthens accountability.	IV: Openness, Participation; DV: Corruption, Accountability; Ctrl: Human dev.	Fiscal Openness.	Evidence review.	Need for voter response.
Efuntade & Efuntade (2021)	Fiscal illusion and Wagner's Law drive Nigerian budget performance.	IV: Illusion Index; DV: Budget performance; Inst: Nigerian budget.	Fiscal Illusion, Wagner's Law.	OLS regression.	Voter accountability focus missing.
Rengifo Khan (2025)	Strategic planning and transparency improve regional spending efficiency.	IV: Strategic planning, Digital government DV: Efficiency; Inst: Regional government	Governance Effectiveness.	SLR (PRISMA).	No original empirics.
Gavazza & Lizzeri (2009)	Low transparency encourages targeted transfers and fiscal churning.	IV: Transparency ; DV: Targeted transfers, Churning; Inst: Policy incentives.	Fiscal Churning Theory.	Theoretical modeling.	Needs empirical testing.

Conclusion

The reviewed literature indicates that **fiscal illusion significantly influences government expenditure, fiscal transparency, and public decision-making**. Theoretical and empirical studies consistently show that **complex**

tax systems, intergovernmental transfers, public debt, and limited fiscal transparency reduce taxpayers' awareness of the true cost of public services, leading to higher public expenditure and weaker fiscal accountability. Conversely, **greater transparency, citizen participation, and fiscal awareness** help reduce fiscal illusion and promote more informed public choices. However, existing research largely relies on **secondary data from developed countries** and gives limited attention to **individual voter behavior, local public goods, and developing economies such as India**. Therefore, this study addresses an important research gap by examining **how fiscal illusion influences voters' responses to local public goods**, contributing to the literature on fiscal transparency, public choice, and local governance.

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